

Sales grew 12%, all of it from the new store. Margin held; waste is the problem to fix.

Sales

\$1.48M

+12% vs the 30 days before; flat
at the 2 stores open both times

Gross margin

47.8%

-0.1 points

Waste

5.2%

of perishable cost; the target is
under 3%

Members

20%

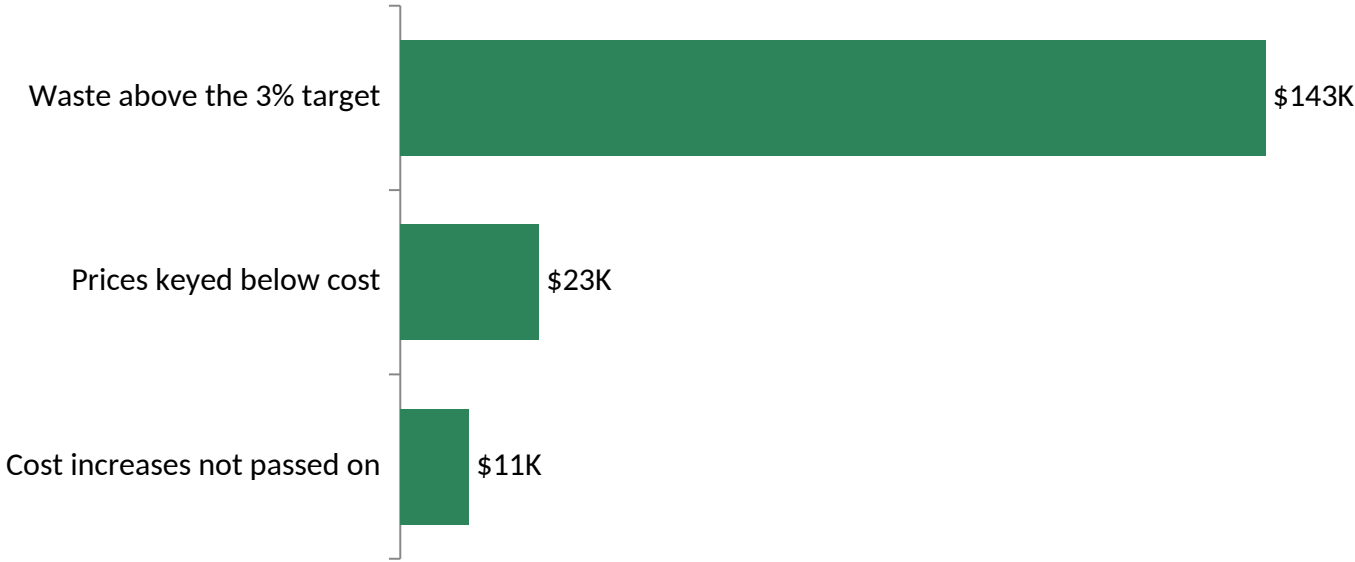
of transactions, up from 15%

Three things to act on

- 1. Cut waste.** It runs about \$143K a year above target, and 59% of it is the cafe and hot bar.
- 2. Fix pricing.** 5 prices are keyed below cost and 24 vendor cost increases were never passed on: \$34K a year.
- 3. Pull failed items.** 33 items that fail the clean standard are still selling, \$174K a year of sales that put the brand at risk.

About \$177K a year is leaking from margin, 1.0% of sales. Most of it is waste, and all of it can be fixed.

What each leak costs a year, at today's pace



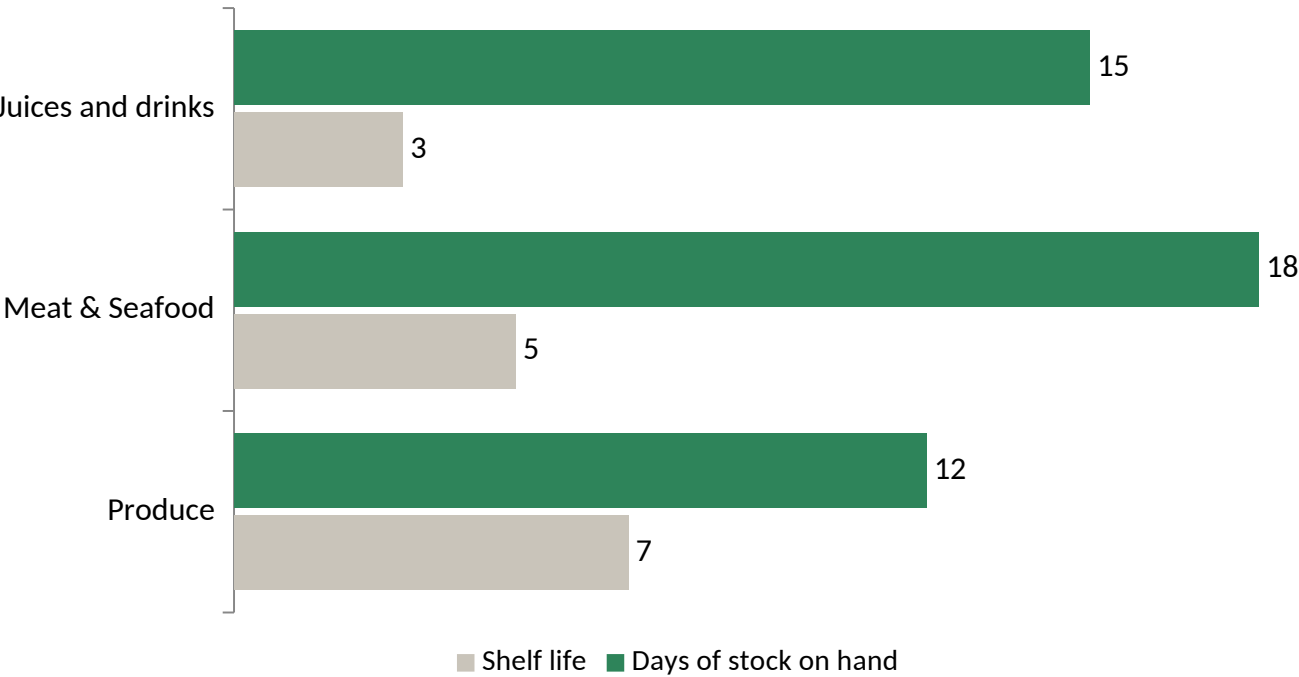
What fixes it

- Waste:** order perishables closer to their shelf life and make smaller hot bar batches (page 3).
- Prices:** correct the 5 keying errors today; the app still has the right prices.
- Costs:** reprice the 16 items under the margin floor, worth \$15K a year at target margin.

Not in the total, but bigger: 33 items that fail the clean standard still sell \$174K a year. Pulling them costs those sales, and keeping them costs the brand.

Fresh food holds more stock than it can sell in time, and slow stock ties up \$165K of cash.

Days of stock on hand vs average shelf life (days)



Stock on hand

\$447K

24 days of stock at cost

Slow stock

\$165K

37% of stock, mostly supplements and beauty & body

Cash freed

\$99K

if fresh food held no more than its shelf life